

Annex XX

Terms and Conditions applicable to Perpetual Debt Instruments (PDI) for being Eligible for Inclusion in Tier 1 capital

The Perpetual Debt Instruments (PDI) shall be issued as bonds or debentures by non-deposit taking NBFCs on the following terms and conditions to qualify for inclusion as Tier 1 capital or Tier 2 capital, as the case may be, for capital adequacy purposes.

1. Terms of Issue of PDI

1.1. Currency of issue PDIs shall be issued in Indian Rupees only.

1.2. Amount

The aggregate amount to be raised by issue of such instruments shall be within the overall limits of Tier 1 and Tier 2 as explained in paragraph 1.3 below. It may be raised in tranches. However, the minimum investment by single investor in each such issue/tranche shall be ₹5 lakh.

1.3. Limits

PDI shall be eligible to be treated as Tier 1 capital upto 15 percent of total Tier 1 capital. The above limit will be based on the amount of Tier 1 capital as on March 31 of previous year after deduction of goodwill and other intangible assets but before the deduction of investments. The amount of PDI in excess of amount admissible as Tier 1 shall qualify as Tier 2 capital subject to provisions contained in these Directions.

1.4. Maturity period

The PDI shall be perpetual.

1.5. Rate of interest

The interest payable to the investors may be either at a fixed rate or at a floating rate referenced to a market determined rupee interest benchmark rate.

1.6. Options

Non-deposit taking NBFC shall issue PDI as plain vanilla instruments only. However, they may issue PDI with a 'call option' subject to strict compliance with each of the following conditions:

(i) That the instrument has run for a minimum period of ten years from the date of issue; and

(ii) Call option shall be exercised only with the prior approval of the Reserve Bank. While considering the proposals received from such NBFCs for exercising the call option the Reserve Bank would, among other things, take into consideration its CRAR position both at the time of exercise of the call option and after the exercise of the call option.

1.7. Step-up option

The issuing non-deposit taking NBFC may have a step-up option for increasing the rate of interest payable on PDIs. Such option may be exercised only once during the whole life of the instrument after the lapse of ten years from the date of issue. The step-up shall not be more than 100 bps in reference to interest rate advertised in terms of offer document under paragraph 1.5 above. The limits on step-up apply to the all-in cost of the debt to the issuing NBFC.

1.8. Lock-In Clause

1.8.1 PDI shall be subjected to a lock-in clause in terms of which the issuing non-deposit taking NBFC may defer the payment of interest, if

(i) Its CRAR is below the minimum regulatory requirement prescribed by the Reserve Bank; or

(ii) The impact of such payment results in NBFC's CRAR falling below or remaining below the minimum regulatory requirement prescribed by the Reserve Bank;

1.8.2 However, non-deposit taking NBFC may pay interest with the prior approval of the Reserve Bank when the impact of such payment may result in net loss or increase the net loss, provided the CRAR remains above the regulatory norm.

1.8.3 The interest shall not be cumulative except in cases as in paragraph 1.8.1.

1.8.4 All instances of invocation of the lock-in clause shall be notified by the issuing NBFC to the Regional Office of Department of Supervision of the Reserve Bank in whose jurisdiction it is registered.

1.9. Seniority of claim

The claims of the investors in PDI shall be

(i) Superior to the claims of investors in equity shares; and

(ii) Subordinated to the claims of all other creditors.

1.10. Discount

The PDI instruments shall not be subjected to a progressive discount for capital adequacy purposes since these are perpetual.

1.11. Other conditions

1.11.1 PDI shall be fully paid-up, unsecured, and free of any restrictive clauses and the issue of PDI and the terms and conditions applicable thereto shall be compliant with the provisions of Companies Act, 2013 and all other laws for the time being in force including the rules, regulations, directions and guidelines issued by the applicable regulatory authorities.

1.11.2 Subject to compliance with extant FEMA Regulations, NBFCs shall obtain prior approval of the Reserve Bank, on a case-by-case basis, for investment by FIIs/NRIs in PDI to be raised by a non-deposit taking NBFC in Indian Rupees.

1.11.3 Non-deposit taking NBFC issuing PDI, shall comply with the terms and conditions, if any, stipulated by SEBI/other regulatory authorities in regard to issue of the instruments.

1.11.4 The investment by other NBFCs in such instruments issued by a non-deposit taking NBFC shall be governed by the provisions of definition of NOF as provided in explanation to section 45-IA of the RBI Act, 1934. As such, investment in excess of 10 percent of the owned fund of NBFC shall be deducted from Owned Fund to arrive at NOF of the NBFC.

2. Reporting Requirements

Non-deposit taking NBFC issuing PDI, shall submit a report to the Regional Office of Department of Supervision of the Reserve Bank under whose jurisdiction it is registered giving details of the debt raised, including the terms of issue specified at paragraph 1 above together with a copy of the offer document soon after the issue is completed.

3. Investment in PDI issued by other NBFCs-ML

A non-deposit taking NBFC investing in PDI issued by other NBFC and financial institutions shall be subject to definition of Net Owned Fund as defined in section 45-IA of the RBI Act, 1934 and will attract risk weight as prescribed by the Reserve Bank.

4. Grant of advances against PDI

Non-deposit taking NBFC issuing PDI, shall not grant advances against the security of the PDI issued by them.

5. Disclosure Requirement

5.1. Non-deposit taking NBFC issuing PDI, shall make suitable disclosures in its Annual Report about :

- (i) Amount of funds raised through PDI during the year and outstanding at the close of the financial year;
- (ii) Percentage of the amount of PDI of the amount of its Tier 1 capital;
- (iii) Mention the financial year in which interest on PDI has not been paid in accordance with paragraph 1.8 above.

5.2. While framing policy as regards PDI, the Board of Directors of the Non-deposit taking NBFC shall ensure that sufficient disclosures are made to the investor which clarify the type of the instrument, the risks associated and its uninsured nature so as to enable the investor to make informed investment decision. The offer document shall contain a clause that the investor may make investment decision on the basis of its own analysis and the Reserve Bank does not accept any responsibility about repayment of such investment. The policy evolved by such NBFC shall also include provision as regards factors to be taken into account by it to demonstrate that it can meet extra load in case the company decides to step up the rate of interest under paragraph 1.7 above. Board of Directors shall ensure strict compliance with all the terms and conditions set forth above.